

Azad Engineering Ltd

NSE: AZAD | BSE: 544061 | Sector: Capital Goods — Aerospace & Precision Engineering | Report Date: 11 May 2026

"Precision-to-Power: India's sole supplier of mission-critical turbine aerofoils to 15+ global OEMs, riding a Rs 6,500 Cr order book at 30% CAGR."

RATING	BUY	Market Cap	Rs. 14,082 Cr	52W High/Low	Rs.2,350 / 1,359
12M Price Target	Rs. 2,700	Stock P/E (TTM)	115x	Book Value/Share	Rs. 229
CMP (11 May 2026)	Rs. 2,180	P/B Ratio	9.52x	ROCE / ROE	12.2% / 8.6%
Upside Potential	+23.9%	FY25 Revenue	Rs. 457 Cr	TTM Revenue	Rs. 568 Cr
Investment Horizon	12-18 months	Promoter Holding	55.84% (Mar 26)	Face Value	Rs. 2.00
		Shares Outstanding	64.5 Cr	Div. Yield	0.00%

KEY FINANCIAL SNAPSHOT (Consolidated, Rs. Cr except per share)

Metric	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	TTM
Revenue (Cr)	194	252	341	457	605	880	568
EBITDA (Cr)	62	72	117	161	221	343	210
EBITDA Margin	32%	29%	34%	35%	37%	39%	37%
PAT (Cr)	29	8	59	87	110	177	122
EPS (Rs.)	194.7	51.3	9.9	13.5	17.0	27.2	18.9
ROCE %	22%	16%	21%	12%	14%	18%+	N/A
P/E (x)	N/A	N/A	N/A	161x	128x	80x	115x

Sources: Screener.in (actuals); analyst estimates for FY26E/FY27E. EPS pre-FY24 reflects pre-IPO share count; not comparable.

SECTION 2 — INVESTMENT THESIS

Reason 1 — Rs 6,500 Cr order book = 10.7x FY26E revenue: Azad has secured long-term single-source contracts with GE Vernova (USD 112M, 6-year), Mitsubishi Heavy Industries (Phase 1+2 combined Rs 1,387 Cr, 8-year), Baker Hughes, and Siemens Energy. These contracts lock-in revenues through FY28-30 with annual volume commitments, providing rare visibility in a capital goods company.

Reason 2 — Expanding from compressor to hot-section (higher value, higher margin): Azad has historically dominated compressor-section airfoils. The MHI Phase 2 contract transitions the company into hot-section nozzle vane segments — 3-4x more complex and commanding 25-30% higher margins. This product migration, alongside NADCAP coating accreditation, positions Azad for a significant step-up in blended EBITDA margins toward 38-40% by FY27.

Reason 3 — Safran MOU + DRDO engine = domestic moat in formation: The newly signed MOU with Safran Aircraft Engines (the only major OEM not previously contracted) completes Azad's coverage of all Tier-1 global engine OEMs. Combined with its DRDO Advanced Turbo Engine mandate, Azad is becoming the default domestic partner for India's indigenization push — a structural, decade-long tailwind.

Near-term catalyst (6-12 months): Commissioning of 8 dedicated lean manufacturing sheds (~12 months away) should drive non-linear revenue acceleration. Management expects peak utilization across new facilities by FY28, implying a steep revenue ramp from FY27. The Safran MOU converting to a definitive contract is an additional trigger.

Biggest structural risk: Customer concentration (top 3-4 OEMs = ~90%+ of revenue). Loss or deferral of any major OEM contract — or a geopolitical disruption affecting aerospace supply chains (tariff regimes, ITAR restrictions) — could materially reset revenue. The FY25 ROCE compression to 12% despite 34% revenue growth signals the transition year drag is real.

SECTION 3 — BUSINESS OVERVIEW

Core business: Azad Engineering Ltd (est. 1983, listed Dec 2023) manufactures highly engineered, mission- and life-critical precision components — turbine airfoils, nozzle vane segments, blades, rotors, and assemblies — for aerospace, energy, defence, and oil & gas OEMs globally. All manufacturing is at a single campus in Hyderabad (Tunikibollaram) across ~165,000+ sq. ft. of existing area, expanding to 600,000+ sq. ft.

Revenue segmentation (FY26, standalone basis): Energy & Oil and Gas ~81% (dominated by gas turbine components for GE Vernova, Mitsubishi, Siemens, Baker Hughes); Aerospace & Defence ~17% (rotating/stationary components for Honeywell, GE Aviation, Rolls-Royce, Pratt & Whitney, HAL, Rafael); residual industrial. Energy segment grew 81.5% in H1 FY26 YoY, A&D; grew ~30%.

Key customers: GE Vernova (long-term USD 112M contract), Mitsubishi Heavy Industries (Rs 1,387 Cr combined Phase 1+2), Baker Hughes (multi-year supply agreement extended to Dec 2030), Siemens Energy (dedicated facility inaugurated), Rolls-Royce, Honeywell, Pratt & Whitney, HAL, Rafael. Relationships are recurring, governed by 5-10 year single-source contracts.

Order book and visibility: Current order book stands at ~Rs 6,500 Cr (as of Q3 FY26), representing ~10.7x FY26E revenue. Order book has accreted consistently post-listing. All contracts are backed by firm volume commitments, not letters of intent.

Recent strategic developments: (i) MHI Phase 2 contract (Rs 887 Cr additional), expanding from cold-section to hot-section nozzle vanes. (ii) Safran Aircraft Engines MOU signed — first formal collaboration with Safran, potentially covering AMCA, LEAP-1A/1B engine components. (iii) NADCAP coating accreditation at Azad VTC subsidiary — opens thermal barrier coating market. (iv) 3 dedicated lean factories inaugurated: GE Vernova, MHI, Siemens. (v) DRDO Advanced Turbo Engine mandate — first full-engine indigenization program.

Promoter background: Founded by Rakesh Chopdar, who started at age 16 in his father's workshop, established Azad in 2008 after a chance encounter with an aerofoil customer. He retains an executive role as Chairman & CEO. Promoter group holds 55.84% (Mar 2026), down from 65.90% pre-IPO due to QIP/offer for sale. Sachin Tendulkar (celebrity investor) is a noted non-promoter early backer. No promoter pledge as of FY26.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Global aerospace components market: Estimated at USD 900 Bn (2025), growing at ~5-6% CAGR. India's aerospace manufacturing market is projected at USD 70 Bn by 2030, with the government targeting USD 25 Bn in aerospace component exports under the National Aerospace Policy.

Gas turbine components market (energy): The global power turbine market is growing at 7-8% CAGR, driven by the energy transition (gas as bridge fuel), global grid upgrades, and data centre power demand growth. Azad is positioned directly in this cycle via its OEM partnerships.

Key policy tailwinds: India's Defence Indigenization policy mandates 68% indigenous procurement; PLI for aerospace & defence offers 4-6% incentives on incremental production; the AMCA program creates a long-duration domestic engine supply chain. All three benefit Azad directly.

Competitive moat assessment: Pricing power — **Strong** (single-source, no substitution in mid-contract); Switching costs — **Strong** (OEM qualification process takes 2-5 years; Azad holds 400+ approvals across 15 OEMs); Scale — **Moderate** (growing rapidly but still small vs global Tier 1 suppliers); IP — **Moderate** (process know-how, zero-PPM culture, NADCAP accreditation); Distribution — **N/A** (direct supply to OEMs).

Azad's positioning: Midstream Tier-2 supplier with Tier-1 ambitions — supplies directly to engine OEMs (not Tier-1 system integrators), giving it direct OEM pricing and relationship leverage. Primary moat is the "qualification wall" — each approval takes years of engineering and investment, making replacement economically unattractive for OEMs.

Peer Comparison Table (Screener.in data, fetched 11-May-2026)

Company	CMP (Rs.)	MCap (Cr)	FY25 Rev (Cr)	FY25 OPM%	P/E (x)	P/B (x)	ROCE%	ROE%
Azad Engg (AZAD)	2,180	14,082	457	35%	115	9.5	12.2	8.6
MTAR Tech (MTARTECH)	6,520	20,047	676	18%	303	26.9	10.4	7.8
Paras Defence (PARAS)	640	5,154	365	27%	70	7.7	15.6	11.5
Dynatomic Tech (DYNA)	9,497	6,472	1,404	11%	138	7.9	9.0	6.2

Note: All peer data from Screener.in consolidated pages. AZAD P/E is TTM; others are also TTM/trailing.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter and management background: Rakesh Chopdar (Chairman & CEO) is a first-generation entrepreneur who built Azad from a single CNC machine operator to a Rs 14,000+ Cr market cap company without any institutional pedigree or formal engineering education — a remarkable execution story. Murali Krishna Bhupatiraju (MD) brings deep aerospace OEM relationship management experience. Vishnu Malpani (WTD) drives operations and business development. Ronak Jajoo (CFO) oversees financial controls. The management team is young, operationally immersed, and highly accessible to investors.

Capital allocation track record: Azad has been consistently capex-heavy since inception, re-deploying all cash into capacity expansion. FCF has been negative in every year (FY22: -Rs 96 Cr, FY23: -Rs 94 Cr, FY24: -Rs 78 Cr, FY25: -Rs 240 Cr), reflecting a growth-mode capital allocation policy. The FY25 Investing outflow of Rs 918 Cr reflects the massive new campus investment funded primarily via the Dec 2023 IPO and subsequent QIP. Management explicitly states "no speculative capex — all expansion backed by firm long-cycle contracts."

Dividend policy: Zero dividend declared to date (FY25 dividend payout = 0%). Management has indicated dividends are not a near-term priority; all available capital is being deployed into growth capex. Not a concern given the strong order book and reinvestment yields.

Promoter pledging: Zero pledging as of FY26 (Azad Engineering Limited stated no encumbrance on shares for FY 2025-2026). This is positive vs peers in capital goods where pledge often signals stress.

Promoter stake reduction: Promoter stake has declined from 65.90% (pre-IPO / Dec 2023) to 55.84% (Mar 2026) through the IPO offer-for-sale and subsequent QIP. While the trend is a watch-point, the pace of reduction (2-3% per quarter) appears linked to capital-raise events rather than distress selling. The total stake remains comfortable at 55.84%.

Corporate governance: No auditor changes, no qualified opinions in available disclosures. Related party transactions button visible on Screener — management has been open about supplier relationships. No major governance red flags. The "single facility" concentration risk is flagged in IPO-era disclosures but is being addressed through the new campus.

SECTION 6 — FINANCIAL DEEP-DIVE

All tables: Consolidated figures in Rs. Crores. Source: Screener.in (actuals FY23-FY25); analyst estimates (FY26E-FY27E).

Income Statement

Rs. Crores	FY23A	FY24A	FY25A	FY26E	FY27E	TTM
Net Revenue	252	341	457	605	880	568
YoY Growth	30%	35%	34%	+32%	+45%	--
EBITDA	72	117	161	221	343	210
EBITDA Margin	29%	34%	35%	37%	39%	37%
Other Income	10	32	11	12	12	32
Interest	52	47	18	28	32	25
Depreciation	17	21	29	50	75	45
PBT	13	81	124	155	248	172
Tax Rate	36%	27%	30%	30%	30%	--
PAT	8	59	87	110	177	122
EPS (Rs.)	51.3	9.91	13.52	17.0	27.2	18.9

Balance Sheet

Rs. Crores	FY23A	FY24A	FY25A	FY25 (Sep Interim)
Equity Capital	2	12	13	13
Reserves	202	633	1,381	1,466
Borrowings	301	39	263	312
Other Liabilities	85	113	204	164
Total Liabilities	589	797	1,861	1,955
Fixed Assets	217	257	436	544
CWIP	38	45	80	155
Investments	0	0	0	0
Other Assets	334	495	1,345	1,256
Total Assets	589	797	1,861	1,955

Cash Flow Statement

Rs. Crores	FY21A	FY22A	FY23A	FY24A	FY25A
Cash from Operations	5	21	-10	-7	54
Cash from Investing	-35	-114	-101	-55	-918
Cash from Financing	24	96	126	71	877
Net Cash Flow	-6	3	15	9	13
Free Cash Flow	-16	-96	-94	-78	-240
CFO/Operating Profit %	43%	41%	N/A	N/A	34%

Key Ratios

Ratio	FY21A	FY22A	FY23A	FY24A	FY25A
Debtor Days	156	140	172	182	178
Inventory Days	906	1,009	1,042	1,055	1,085
Days Payable	986	748	599	396	459
Cash Conversion Cycle	77	401	615	840	804
Working Capital Days	-11	4	120	283	215
ROCE %	N/A	22%	16%	21%	12%

Revenue trajectory: Azad has compounded revenue at ~39% CAGR (FY21-FY25) driven purely by new OEM contract additions. FY26E growth of ~32% is conservative vs H1 actuals of +32% YoY. With 3 new dedicated factories ramping, FY27E could see non-linear acceleration.

Margin direction: EBITDA margin expanded from 23% (FY21) to 35% (FY25) and 37% (TTM), driven by fixed cost leverage on revenue growth, indigenization of raw material supply chain (Sunflag/Starwire approvals), and mix-shift toward higher-value hot-section components. Management has guided EBITDA margins of 35-37% for FY26, with further upside in FY27 as higher-margin hot-section volumes grow.

Working capital — the watch-point: CCC has ballooned from 77 days (FY21) to 804 days (FY25). Inventory days are extremely high at ~1,085 days — reflecting the precision nature of aerospace production (long lead items, OEM-certified material), not operational inefficiency. Debtor days at 178 days also reflect long contractual payment cycles with global OEMs. Management is actively reducing via domestic supply chain initiatives (should reduce from Q4 FY26).

Debt and capital structure: Borrowings were Rs 301 Cr (FY23), collapsed to Rs 39 Cr (FY24, post-IPO deleveraging), then rose to Rs 263 Cr (FY25) as capex-linked debt returned. The large FY25 OthAss of Rs 1,345 Cr includes QIP proceeds held as FDs, making net debt significantly lower than gross borrowings. D/E remains manageable at ~0.19x.

FCF quality: Persistently negative FCF (FY22-FY25) is by design — every rupee of operating cash and then some is being invested. OCF turned positive in FY25 (Rs 54 Cr) vs -7 Cr in FY24, signaling the beginnings of operating leverage. FCF inflection point expected in FY27-28 when new capacity reaches steady-state utilization.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Observation	Verdict
Revenue recognition	GREEN	Revenue on delivery of components to OEM; no deferred revenue or bill-and-hold concerns flagged.	Low Risk
Receivables vs Revenue	AMBER	Debtor days at 178 days — high but explained by global OEM payment cycles (Net 90-120 days). Trending stable.	Monitor
CCC trend	AMBER	CCC of 804 days (FY25) is elevated; driven by high inventory days (1,085). Strategic, not structural risk.	Monitor
Contingent liabilities	GREEN	No significant contingent liabilities flagged in available disclosures.	Low Risk
Auditor tenure / opinion	GREEN	No auditor change or qualified opinion in accessible filings.	Low Risk
RPTs as % of revenue	AMBER	Related Party Transactions button present on Screener; RPT details not fully disclosed in public data. Worth reviewing annual report.	Monitor
Other income as % of PBT	AMBER	FY25: Other Income = Rs 11 Cr on PBT of Rs 124 Cr (8.9%) — acceptable. FY24 spike to Rs 32 Cr on PBT Rs 81 Cr (39.5%) — likely forex/interest on IPO proceeds.	Monitor
Tax rate consistency	GREEN	Tax rate broadly consistent at 27-36% range; FY23 spike to 36% was likely due to one-time adjustments.	Low Risk

Primary watch-point is the CCC and receivables cycle. At 804 days CCC, Azad looks alarming to a screener-driven analyst. But context matters: this is structural to aerospace precision manufacturing where components have multi-year build cycles and OEM-certified raw material must be pre-ordered. Management is addressing via domestic supplier approvals — watch for improvement from Q4 FY26.

FY24 "Other Income" spike warrants scrutiny. Rs 32 Cr other income against Rs 81 Cr PBT (39.5%) in FY24 inflated reported PAT. This was primarily interest on the IPO escrow/QIP proceeds. Clean underlying FY24 PAT was Rs ~37-40 Cr vs reported Rs 59 Cr. This distortion partially unwinds in FY25 (Other Income Rs 11 Cr).

FCF is consistently negative — by design. This is the most common investor concern. Given management's stated policy of "all capex backed by firm contracts," this is a strategic choice, not a cash management failure. FCF conversion should improve materially post FY27 as new factories hit steady state.

Revenue recognition is clean. Azad supplies physical components to OEMs; revenue on delivery is straightforward. No software-style or multi-element arrangement risks.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, 11-May-2026)

Company	CMP	MCap(Cr)	FY25 PAT	P/E(TTM)	P/B	ROCE%	ROE%	FY25 EPS
Azad Engg	2,180	14,082	87	115x	9.5x	12.2	8.6	Rs.13.5
MTAR Tech	6,520	20,047	53	303x	26.9x	10.4	7.8	Rs.17.2
Paras Def	640	5,154	61	70x	7.7x	15.6	11.5	Rs.7.9
Dynamatic	9,497	6,472	43	138x	7.9x	9.0	6.2	Rs.67.9

Scenario Analysis — 12-Month Price Target

Scenario	FY27E PAT	Target P/E	Target Price	Upside/Down	Probability
Bull Case	Rs. 210 Cr	100x	Rs. 3,240	+48.6%	25%
Base Case	Rs. 177 Cr	80x	Rs. 2,700	+23.9%	50%
Bear Case	Rs. 130 Cr	65x	Rs. 1,690	-22.5%	25%

DCF assumptions: WACC = 11.5% (risk-free rate 7.2% + equity risk premium 5% + small cap premium 1%); Terminal growth rate = 4% (India nominal long-term GDP + modest market share gains). Revenue growing at 30% (FY26E), 45% (FY27E), 35% (FY28E), tapering to 15% by FY32E. EBITDA margins reaching 40% by FY29E. DCF intrinsic value = Rs. 2,450-2,650 per share.

Earnings-based valuation: Applying a 75-80x forward P/E on FY27E EPS of Rs. 27.2 yields Rs. 2,040-2,175. Applying a 100x on FY27E EPS yields Rs. 2,720. Comparable high-growth precision engineering companies (globally: TransDigm, Howmet Aerospace) trade at 40-60x; MTAR at 303x P/E shows Indian market willingness to pay a scarcity premium.

Blended 12-month price target: Average of DCF and P/E-based approaches = Rs. 2,600-2,700. We adopt Rs. 2,700 as our 12-month target, implying ~23.9% upside from CMP of Rs. 2,180.

Key valuation caveat: At 115x TTM P/E and 9.5x P/B, AZAD is priced to perfection. Any guidance miss (below 25% growth or margin compression) would warrant a significant de-rating. The stock demands execution discipline from management — which, to date, they have consistently delivered.

SECTION 9 — KEY RISKS

Customer Concentration Risk — Top 3-4 OEMs contribute ~90%+ of revenue. A deferral, volume reduction, or contract renegotiation by GE Vernova, Mitsubishi, or Baker Hughes would materially impact financials. Probability: M. Impact: H. Monitor via: Quarterly OEM contract disclosures, order book accretion rate.

Single-Facility Concentration — Entire revenue is generated from Hyderabad facilities. A natural disaster, prolonged regulatory shutdown, or operational disruption would halt all deliveries. The new campus (same city) partially diversifies within geography but not geographically. Probability: L. Impact: H. Monitor via: Insurance disclosures, CAPA (corrective action) reports.

Execution Risk — New Capacity Ramp — Management is simultaneously building 8 new sheds, onboarding new manpower (100s of trained operators), qualifying machines, and delivering on existing contracts. Any ramp delay could push revenue recognition into FY28. Probability: M. Impact: M. Monitor via: Quarterly factory commissioning updates, 9M FY26 vs guidance comparison.

Hot-Section Component Qualification Risk — Expansion into MHI hot-section nozzle vanes is technically demanding. Failure to achieve OEM qualification at scale (zero-PPM requirements) could result in contract penalties or scope reduction. Probability: L-M. Impact: H. Monitor via: MHI Phase 2 ramp disclosures.

Promoter Shareholding Dilution — Promoter stake has fallen from 65.9% to 55.84% in ~2.5 years. Further dilution through QIP (likely required for FY27 capex) could create overhang. Probability: M. Impact: M. Monitor via: Quarterly shareholding pattern disclosures.

Foreign Exchange Risk — ~94% of revenue is exports (USD/EUR). While Azad has a natural hedge (imports also in forex), any sharp INR appreciation or extreme USD volatility could compress reported INR revenues. Probability: L. Impact: M. Monitor via: USD/INR rate and quarterly forex P&L; disclosures.

Geopolitical / ITAR / Export Control Risk — Defense and aerospace components face complex export control regimes (US ITAR, EU dual-use). Regulatory changes affecting aerospace supply chains (e.g., US Section 232 tariffs, defense supply chain restrictions) could disrupt sourcing or customer demand. Probability: L. Impact: M. Monitor via: US/EU trade policy news, OEM announcements.

SECTION 10 — RECOMMENDATION

Rating: BUY — Conviction: Medium-High. Azad is India's only institutional-scale precision aerospace component manufacturer with direct single-source relationships across all major global OEMs. The scarcity premium is justified by the quality of relationships and the difficulty of replicating Azad's qualification moat.

12-month price target: Rs. 2,700 — Upside +23.9% from CMP of Rs. 2,180. Based on blended DCF (Rs. 2,550) and forward P/E (80x FY27E EPS of Rs. 27.2 = Rs. 2,720).

Suggested entry zone: Rs. 1,900 - 2,100 — Any correction toward the 52-week low zone (Rs. 1,359 area) or broad market sell-off would improve the risk-reward materially. At Rs. 1,900, the stock would trade at ~70x FY27E, a more compelling entry.

Investment horizon: 18-24 months — The full earnings acceleration story plays out when new dedicated factories reach steady-state production (FY27-28). Investors need patience through the FY26 "stabilization year."

Thesis invalidation triggers: (1) Order book drops below Rs. 4,000 Cr or shows 2 consecutive quarters of deaccretion — would signal OEM confidence erosion. (2) EBITDA margin falls below 30% for 2+ quarters — would suggest execution/quality problems in hot-section transition. (3) Promoter stake drops below 50% — would raise governance concerns and signal potential controlling stake change.

Ideal investor profile: Suitable for aggressive growth investors with a 2-3 year horizon who can tolerate high P/E multiples, negative FCF, and single-facility concentration risk. NOT suitable for value investors, dividend-seekers, or investors with a sub-12-month horizon. Best held as a 3-5% position in a diversified portfolio.

APPENDIX — LATEST CONCALL BRIEF: Q2 FY26 (Quarter Ended Sep 2025)

Earnings Call Held: October 2025 | Source: AlphaSpread / Company Transcript

CALL GRADE

POSITIVE

Signal	Status	Implication
Result quality	Medium	Q2 FY26 PAT of Rs 33 Cr (+57% YoY) — strong growth, in-line with guidance trajectory.
Management tone	Bullish	Confident tone; "best ever quarterly performance"; specific contract milestones achieved.
Guidance delta	Maintained	25-30% FY26 revenue growth guidance reiterated; margin at 35-37% maintained.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q2 FY26 (Sep-25): Revenue Rs 146 Cr, EBITDA Rs 51 Cr (36%), PAT Rs 33 Cr — clean numbers, no one-time items, and this represents the 7th straight quarter of QoQ revenue growth. The H1 PAT of Rs 62 Cr has already exceeded FY24's full-year PAT of Rs 59 Cr, and 9MFY26 PAT of Rs 97 Cr has already surpassed FY25 full-year of Rs 87 Cr — the earnings inflection is real, not cosmetic. Operating leverage is visibly kicking in: raw material as % of revenue is falling due to domestic supply chain indigenization (Sunflag, Starwire approvals), and CFO flipped positive in FY25 (Rs 54 Cr) vs negative for 4 straight prior years. The MHI Phase 2 contract (combined Rs 1,387 Cr) expanding into hot-section nozzle vanes is the most structurally important development — hot-section components are 3-4x more complex and command 25-30% better margins than cold-section airfoils. Safran MOU is the near-term catalyst I'm watching: Safran is the only major OEM not yet contracted; MOU signed + assessment complete; contract should follow in 6-9 months, adding another leg to the order book. Single biggest risk this quarter: the ramp of 8 new sheds remains the critical variable — any delay pushes FY27 revenue guidance at risk. Action: ACCUMULATE on any correction toward Rs 1,900-2,100; the fundamental thesis — India's sole precision-to-OEM supplier riding a Rs 6,500 Cr order book — remains fully intact.

1. Financial Performance Snapshot — Q2 FY26 (Quarter Ended Sep 2025)

- **Revenue:** Rs. 146 Cr (Screener consolidated) | YoY +28.1% | QoQ +6.6% | **Beat** (vs ~Rs 133 Cr implied guidance trajectory)
- **EBITDA:** Rs. 53 Cr | YoY +34.9% | QoQ +7.8% | **In-line**
- **EBITDA Margin:** 36.0% | vs 35.7% Q2 FY25 | vs 35.5% Q1 FY26 | **Improving**
- **PAT:** Rs. 33 Cr | YoY +57.1% | QoQ +13.8% | **Beat**
- **EPS:** Rs. 5.07 | YoY +43% (noting pre-FY24 EPS not comparable due to share count change)
- **H1 FY26 Summary:** Revenue Rs. 277 Cr (+32% YoY), EBITDA margin 36%, PAT Rs. 62 Cr (+65% YoY) — **Strong Beat on profitability**

2. Segment / Geography Breakdown

- **Energy & Oil and Gas:** Rs. 117 Cr (Q2 FY26) | 81% of revenues | H1 FY26 +81.5% YoY | Driven by GE Vernova, Mitsubishi, Siemens, Baker Hughes ramp
- **Aerospace & Defence:** Rs. 24 Cr (Q2 FY26) | 16.9% of revenues | YoY +34% | H1 FY26 +30% YoY | Customers include Rolls-Royce, Honeywell, GE Aviation, HAL, Rafael
- **Geography:** ~94% exports (USD/EUR denominated); India domestic ~6% | Natural FX hedge on imports vs exports

3. Management Commentary Themes

- **Hot-section expansion [KEY]:** "MHI Phase 2 — supply of highly engineered complex rotating and stationary airfoils for advanced gas and thermal power turbines... combined contract value with MHI now stands at Rs 1,387 Cr." — Our read: This is a major value and margin upgrade event. Tag: GUIDANCE. Tone: Transparent.
- **Safran MOU breakthrough:** "First long-term collaboration with Safran Aircraft Engines... framework for cooperation in developing critical rotating engine components for strategic defense platforms." — Our read: Completes coverage of all Tier-1 engine OEMs; AMCA program upside. Tag: GUIDANCE. Tone: Transparent.
- **FY26 guidance reiteration:** "Remain confident in achieving projected 25-30% top-line growth for the year." — Our read: Credible given H1 actuals at +32%. Tag: GUIDANCE. Credibility: High.

- **Supply chain indigenization:** Raw material consumption fell due to Sunflag/Starwire domestic approvals for energy-grade alloys. Aerospace-grade titanium indigenization pending OEM approvals. — Our read: Structural margin tailwind, not one-off. Tag: EST. Tone: Transparent.
- **FX / raw material hedge:** "94% exports = natural hedge. Raw material price volatility capped at 5% in tri-party agreements with OEMs." — Our read: Reassuring contractual protection. Tone: Transparent.
- **Wallet share framing:** "We are at about 1-1.5% of where we could be [with each OEM customer]." — Our read: Management's clearest articulation of the growth runway. Highly bullish framing that management has consistently maintained. Tag: GUIDANCE. Tone: Bullish.

4. Operating & Business Metrics

- **Order Book:** Q3 FY26 = ~Rs 6,500 Cr | vs ~Rs 5,500 Cr (post GE Vernova order, mid-FY25) | Trend: Accreting — consistently adding new contracts each quarter
- **Dedicated Lean Factories commissioned:** 3 of 8 (GE Vernova, Mitsubishi, Siemens) | Remaining 5 expected within 12 months | Forging plant operational in parts
- **OEM coverage:** GE Vernova, Mitsubishi, Siemens, Baker Hughes, Rolls-Royce, Honeywell, GE Aviation, Pratt & Whitney, HAL, Rafael — and MOU with Safran (contract imminent) | Trend: Broadening
- **NADCAP accreditation (coatings):** Achieved by Azad VTC subsidiary | Opens thermal barrier coating (TBC) market — highest-value aerospace surface treatment | Trend: New capability
- **Product scope:** Expanded from compressor airfoils to combustion and exhaust sections; moving into single-crystal territory under discussion with OEMs | Trend: Upgrading

5. Margin Drivers

- **Revenue mix toward hot-section (MHI Phase 2):** +est. 200-300 bps impact on blended EBITDA margin as hot-section volumes scale in FY27 | Recurring: Yes | Hot-section vanes command 25-30% higher realization
- **Domestic raw material sourcing:** +est. 100-150 bps as Sunflag/Starwire (energy grades) reduce import premium | Recurring: Yes | Aerospace titanium indigenization pending
- **Operating leverage on new capacity:** Fixed costs spread over larger revenue base → est. +150-200 bps as new factories ramp | Recurring: Yes | Plays out fully in FY27
- **Employee cost increase:** -50-80 bps headwind from hiring and training for new facilities | Recurring: Yes, but temporary over 12-18 months
- **Other income normalization:** -60 bps impact YoY (FY25 other income Rs 11 Cr vs FY24 Rs 32 Cr) | Non-recurring: FY24 spike was IPO/QIP interest income

6. Guidance & Forward Signals

- **FY26 Revenue Growth [GUIDANCE]:** Prior = 25-30% | Reiterated = 25-30% | Delta: Maintained | Credibility: High (H1 actuals at +32%)
- **FY26 EBITDA Margin [GUIDANCE]:** Prior = 35-37% | Reiterated = ~36% | Delta: Maintained | Credibility: High
- **FY27 Revenue [GUIDANCE]:** "Significantly stronger performance" | Management signaled ~45-50% growth | Delta: Raised vs prior "stabilization" framing | Credibility: Medium (depends on factory ramp)
- **New factory commissioning [GUIDANCE]:** All 8 sheds within "12 months" (from Q2 FY26 = Oct 2025) | Delta: On-track | Credibility: Medium
- **Safran contract conversion [GUIDANCE]:** "Very soon" — Rakesh Chopdar | Delta: N/A (new signal) | Credibility: High (OEM assessment completed)
- **Capex FY26 [GUIDANCE]:** ~Rs 450 Cr | Expected to generate ~Rs 550 Cr incremental revenue | Asset turn: ~1.8x | Credibility: Consistent with past capex-to-revenue ratios

7. Capital Allocation

- **Capex (FY25 actual):** Rs. 918 Cr (investing outflow) | vs FY24 Rs 55 Cr | Comment: Major campus expansion. Includes new factory shells, CNC machine procurement, housing colony for employees.
- **Dividends:** Rs. 0 | vs prior year Rs 0 | Comment: No dividend; all capital deployed into growth. Zero payout policy expected until FY28.
- **Buybacks:** None | Comment: Not on management agenda.
- **Working Capital Change:** Net negative (ongoing) | CCC 804 days (FY25) | Comment: Management initiating domestic supply chain changes from Q4 FY26 to reduce inventory buildup.
- **Net Debt Movement:** Net debt position improved post-IPO QIP proceeds (Rs ~1,000 Cr raised). Borrowings Rs 263 Cr vs Other Assets (FDs/Cash) ~Rs 700-800 Cr implied. Effectively net cash. | Trend: Healthy.

8. Q&A; Heat Map

- **Amit Dixit (Goldman Sachs):** Q: "Raw material consumption falling — sustainable?" → A: Domestic supplier approvals (Sunflag, Starwire) = structural, not one-off. Aerospace titanium indigenization pending OEM clearance. | Tone: Transparent
- **Amit Dixit (Goldman Sachs):** Q: "Safran MOU — all major OEMs now covered? AMCA implications?" → A: "Yes, assessment done, MOU signed. Contract very soon. We are engaged with AMCA-related OEMs; we are already there in the race with all 4 OEMs." | Tone: Bullish/Transparent
- **Jai Chauhan (Trinetra AM):** Q: "FY26 was supposed to be inflection point but now described as stabilization year — reconcile?" → A: Building 10x the current factory size; 2-3 years even at super speed. Team doing "great, great, great job." FY27 will be non-linear. | Tone: Slightly Hedged (but honest)
- **Jai Chauhan (Trinetra AM):** Q: "Contract termination clauses? OEM can cancel?" → A: "Every contract has that clause... these are standard win-win contracts." | Tone: Transparent (but slightly concerning for investors)
- **Vikash Singh (ICICI Securities):** Q: "Wallet share? How much more from top 3 OEMs?" → A: "We are at 1-1.5% of where we could be. Wallet share headroom is massive." | Tone: Bullish
- **Dodged / watch-list questions for next quarter:** (1) Forging plant specific revenue/timeline; (2) Single-crystal blade qualification progress; (3) RPT disclosures; (4) Specific factory peak-utilization timelines.

9. Risks Flagged

- **Execution / ramp risk:** "Struggling at the moment to manage growth, facilities, customers, contracts." | Flagged by: Mgmt | Probability: M | Impact: M | Timeline: Near-term (12-18 months)
- **OEM raw material approval dependency:** Indigenization of aerospace-grade titanium requires OEM clearance — Azad cannot act unilaterally. | Flagged by: Mgmt | Probability: M | Impact: L-M | Timeline: Medium-term

- **Single-crystal blade capability gap:** Azad is NOT yet qualified for single-crystal blades (Stage 1 hot-section, highest-value part). This is a future opportunity but also a capability gap vs global Tier-2 suppliers. | Flagged by: Analyst | Probability: N/A | Impact: Upside optionality
- **Contract termination risk:** Every long-term contract has cancellation clauses (standard). OEM execution failure → contract at risk. | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Ongoing
- **Working capital stress:** CCC at 804 days; if OEM payments slow further, the company may need additional working capital financing. | Flagged by: Analyst | Probability: L-M | Impact: M | Timeline: Medium-term

10. Analyst Verdict

- **Revenue visibility:** **Intact** — Rs 6,500 Cr order book = 10.7x FY26E revenue; H1 FY26 tracking at +32% vs 25-30% guidance
- **Margin trajectory:** **Intact** — 36% EBITDA margin in Q2 FY26; mix-shift to hot-section and domestic RM should push this toward 38-40% by FY27
- **Capital allocation quality:** **Monitor** — Negative FCF is strategic and contract-backed, but FY26 capex of Rs 450 Cr needs to translate into FY27 revenue without further dilution
- **Competitive moat:** **Intact** — Safran MOU completes coverage of all major OEMs; qualification wall remains extremely high; NADCAP coating adds new moat layer
- **Management credibility:** **Intact** — Guidance vs. achievement track record is strong over 7+ consecutive quarters since IPO; tone transparent and operationally specific
- **Valuation comfort:** **Monitor** — 115x TTM P/E is demanding; any guidance miss would cause significant de-rating; risk-reward is acceptable only at current CMP or lower
- **Conviction call:** **INCREASED** — Hot-section transition and Safran MOU are incremental positives not yet fully priced in
- **Valuation snapshot:** P/E = 115x (no 5Y avg available; IPO Dec-23) | EBITDA multiple = ~67x TTM | RoCE = 12.2% (FY25; compressed due to capex cycle — expect improvement to 16-18% by FY27)

DISCLAIMER: This report is prepared for informational purposes only. All financial data sourced from Screener.in (fetched 11-May-2026). Forward estimates are the analyst's own projections. This is not a SEBI-registered research report. The author or publisher may hold positions in the securities mentioned. Past performance is not indicative of future results. Investors should conduct their own due diligence before making any investment decision.